

Chapter 12

Chinese Culture and Chinese Consumer Behavior

12.1. Introduction

China is a fascinating place. It is China's turn to reclaim its place in world history. It is playing an increasingly important role in the world's economy. Its emergence as the world's most rapidly-growing industrial economy is continuing to transform the international economic and financial landscape. It is the single largest destination for foreign direct investment (FDI) and its economy will grow by as much as 10% per annum, resulting in a huge increase in the number of middle-class consumers. This enormous Chinese consumer market offers potential opportunities; however, certain important challenges also exist.

Some statistics give a clear overview:

- In the past 25 years, China has moved 300 million people out of poverty and quadrupled the average person's income.
- China will be the country with the second-largest economy in the world in 2021.
- China is now the world's largest producer of coal, steel and cement, the second largest consumer of energy and the third largest importer of oil.

- China manufactures two-thirds of the world's photocopiers, microwave ovens, DVD players and shoes.

- In 2006, there are now 123 million Internet users and close to 400 million cell-phone users in China.

With this background, the period 2005–07 could be an important turning point for China's consumer market. Several things will or may happen that would hasten the further development of this huge market: increased interest, on the part of foreign retailers, in China's retail sector; possible revaluation of the Chinese currency; efforts by the Chinese government to shift the sources of economic growth away from investment and exports and toward consumer spending; and accelerated reform of China's banking system resulting in a bigger and more efficient market for consumer credit.

However, very little thought has been given to rethinking the theories, underlying models, concepts and views of Chinese culture and to the motives of Chinese consumers and how they behave.

In China, consumption currently makes up just 50% of its gross domestic product (GDP), which is well below the 65% norm of most major economies. Putting it another way, 20% of the world's population accounts for only about 3% of total global consumption. The potential of the Chinese consumer could well be one of the greatest opportunities for the global economy in the 21st century.

The purpose of this chapter is to identify the cultural differences between the West and China and their measurements; and to give an overview of Chinese traditional culture and its main aspects. Through an in-depth of analysis of three doctrines of Chinese cultural systems, this chapter assesses and identifies the role of culture in influencing Chinese consumer behavior in Chinese business operations. In the discussion afterwards, the author integrates relevant concepts and managerial implications for Chinese consumers, brand management and marketing strategy in China.

On the basis of the growth of business in China and the distinct lack of attention paid to the influence of Chinese traditional culture on Chinese consumer behavior in the past, the results of the analysis will be useful to practitioners and managers in assisting them to decide on appropriate marketing strategies and tactics.

12.2. The cultural difference between China and the West

Based on preliminary cross-cultural studies, Hofstede [HOF 87, 91] explained that culturally-based value systems comprise four dimensions: power distance, individualism/collectivism, masculinity/femininity and uncertainty avoidance. Further research by Michael Bond [BON 89] identified a fifth “Eastern” dimension called long-term/short-term orientation.

By comparing some Western countries and China along these five dimensions according to their cultural dimension scores [HOF 91], some tentative conclusions are as follows:

- First, Western countries seem to be generally lower (United States of America (USA) 40, Canada 39, United Kingdom 35, Germany 35 and France 68) than China (80) in power distance.
- Secondly, in terms of individualism, Western countries are generally much higher (USA 91, Canada 80, United Kingdom 89, Germany 67 and France 71) than China (20).
- Thirdly, Western countries seem to have short-term orientation, while China is considered to be long-term oriented.
- Therefore, a comparison between the West and China seems to help clarify the cultural differences and related cross-cultural challenges.

Cultural dimensions	Western culture	Chinese culture
Individualism/collectivism	Strong individualism	Strong collectivism
Power distance	Medium	Centralized, tendency towards democracy
Uncertainty avoidance	Risk-taking	Risk-avoiding
Masculinity/femininity	Medium masculinity	Medium femininity
Long/short-term orientation	Short-term orientation	Long-term orientation

Table 12.1. *Cultural differences between the West and China*

China and Western countries differ greatly with regard to their economic systems, political systems, social values and laws, despite the substantial changes that have occurred in China during recent years [HOF 93]. First, in terms of power distance, the scores of China are more higher than those of the West (80–60), which indicates that China is centralized (though it has shown some tendency toward decentralized power), while the West is relatively decentralized. Secondly, the West ranks first in individualism (strong individualism), while China is low in individualism (strong collectivism). Thirdly, the West puts higher value than China on masculinity, which indicates that the West has medium masculinity, while China has medium femininity. Fourthly, China has higher values for uncertainty avoidance than the West, which shows that the Chinese are relatively risk-avoiding, while the West is relatively risk-taking. Finally, the West has a short-term orientation, while China has a long-term orientation.

To measure Chinese traditional culture, several models have been developed in the US and Europe. Basing it on the Kluckhohn and Strodtbeck [KLU 61] value orientation model, Yau [YAU 94] developed a Chinese-values research framework embedded within the five major elements: ideal life orientation, man-nature orientation, relational orientation, behavioral orientation and time orientation. A more direct indicator designed to measure the unique aspects of Chinese traditional values was also developed by Yau [YAU 94] and included: (1) hierarchical nature; (2) the importance of face and *guanxi* ((traditional Chinese: 關係; simplified Chinese: 关系; pinyin: *gūanxi*) describes the basic dynamic in personalized networks of influence; the pinyin is becoming more widely used instead of the two common translations – “connections” and “relationships”); (3) clan-based structure; and (4) long-term orientation. The introduction of altruism and personal ideology (humanism) provide the final links designed to capture Chinese traditional values.

Another measure representing cultural effects was derived from the literature in the preceding section and the instrument known as the Chinese Value Survey (CVS) which was developed by the Chinese Culture Connection [CHI 87]. The CVS instrument groups Chinese cultural values into four dimensions:

- Integration: representing integrative social stability which is crucial for maintaining harmonious relationships with other people.
- Confucian work dynamism: characterized by social hierarchy, personal virtue, reciprocity, respect for tradition and saving one’s face.

- Human-feeling: referring to the attitude toward interpersonal relationships and the manner of dealing with others, whether the interaction with others is business-oriented or relationship-oriented.
- Moral discipline: referring to the perceived need and the ability of self-control.

Another model, the CVS, was suggested as more appropriate: first, this culture measurement tool is comparable to the well-received, Western-based instrument developed by Hofstede [HOF 84] as three of the CVS dimensions – integration, feeling and moral discipline – are highly correlated with Hofstede's four dimensions [CHI 87]. Secondly, the issue of how to put into operation the culture concept to develop theoretical structures for explaining cross-cultural difference in human behavior is essential to the validity of cross-cultural research [FOS 79]. In this regard, several researchers [ALD 89] have warned that researchers cannot overlook the limitations of extending Western-based constructs and measurement tools to non-Western countries. Hofstede's culture measurement tool is limited to capturing the features of Chinese culture based on Confucian dynamism. The CVS has been proved to tap into concerns fundamental to the Chinese worldview. It has been used to investigate Chinese cultural impact on the buying behavior of the middle classes [CHA 95] and the findings show good reliability.

12.3. Chinese traditional culture and its values

Culture is of critical relevance to marketers in China because successful strategies cannot be developed without taking into account the specific features of Chinese culture. Relationships and group orientation are deeply rooted in the culture that permeates all aspects of Chinese society. Chinese traditional cultures have been shaped by Confucianism, Taoism and Buddhism as the three doctrines values [ZHE 97]. These three doctrines were an important part of daily life in old China and remain so.

12.3.1. *Confucianism and core beliefs*

Confucianism was the most influential Chinese religion. It was founded by Confucius or Kung-fu-tzu. Confucianism was the state religion from the establishment of the Han Dynasty in 202 BC to the end of the imperial epoch in 1911. Confucius was a Chinese scholar and statesman who lived during feudal times (over 2,000 years ago). He established an ethical and moral system that governs all

relationships: father and son, ruler and ruled, husband and wife, elder brother and younger brother and among friends.

Confucianism views the family as the basic unit of society. Certain reciprocal relationships and responsibilities must be observed to preserve harmony. A specific hierarchy is pragmatic and places the greatest importance on rank and age in all interactions. Saving face and not causing shame to another are important. Since the family is the core unit, all the actions of an individual reflect on the family when the virtues of kindness, righteousness, propriety, intelligence and faithfulness are practiced.

Confucian doctrine	Essential beliefs
Five ethical elements	The relationships between father and son, ruler and ruled, husband and wife, elder brother and younger brother and among friends.
Six virtues of humanity	<i>Li</i>: includes ritual, propriety, etiquette, etc <i>Xiao</i>: love within the family: love of parents for their children and of children for their parents <i>Yi</i>: righteousness <i>Xin</i>: honesty and trustworthiness <i>Ren</i>: benevolence, humaneness toward others – the highest Confucian virtue <i>Cheng</i>: loyalty to the state, etc
Sacred texts	The <i>Si Shu</i> or Four Books The <i>Wu Jing</i> or Five Classics

Table 12.2. *Confucianism and core beliefs*

Confucianism is a philosophy of living rather than a religion and may guide one’s life while one practices other religions, such as Taoism and Buddhism, without contradiction.

12.3.2. *Taoism*

Taoism is the most important strain of Chinese thought through the ages. It is almost entirely different from Confucianism, but is not contradictory. The Tao has no concern for affairs of the state, for mundane or quotidian matters of administration, or for elaborate ritual; rather, Taoism encourages avoiding public duty in order to search for a vision of the transcendental of world of the spirit.

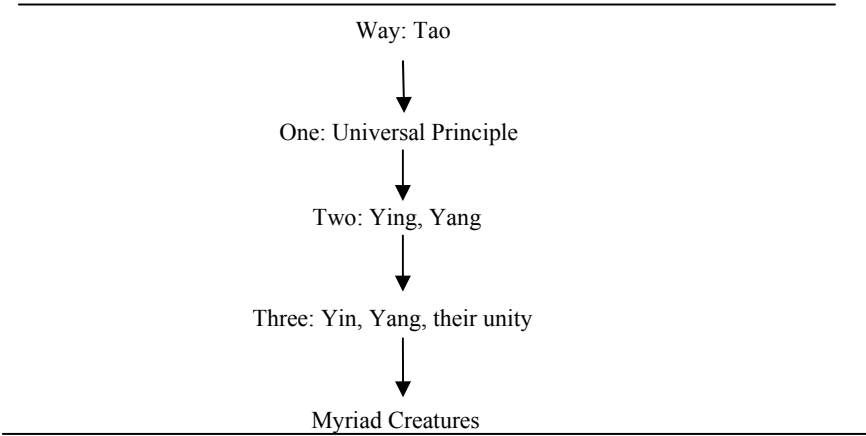


Table 12.3. *The way of Taoism*

Taoism is based on the idea that behind all material things and all the change in the world lies one fundamental, universal principle: the way of Tao, the interplay among five elements (ie, metal, wood, water, fire and earth) and the interdependence between the macrocosm and the microcosm (eg, man’s relation to the universe). This principle gives rise to all existence and governs everything, all change and all life. The purpose of human life is then to live life according to the Tao, which requires passivity, calmness and non-strivingness, known by Taoists as “Wu Wei”.

Taoism doctrine	Core beliefs
Eternality	The ineffable, eternal, creative reality is the source and end of all things.
Principle of <i>Wu Wei</i>	The Taoist prefers a life of total inactivity. It is rather a life of no purposeful action (<i>wu wei</i>).
Moral wisdom	“Manifest the simple”, “embrace the primitive, reduce selfishness, have few desires”.
Harmony between human beings and nature	The Tao is in harmony with one’s original nature. An individual in harmony with the Tao comprehends the course of Nature’s constant change and does not fear the rhythm of life and death.
Immortality	Achieving immortality: dietary regimens, breathe control and meditation, sexual disciplines, alchemy, the use of magical talismans and the search for healthy, vitality, long life, etc.
Sacred Texts	<i>Tao-De-Ging</i> (The Way of Power)

Table 12.4. *Taoism and core beliefs*

When Yin and Yang embrace each other, they reveal that they are not a world that can be divided into black and white, but black-in-white and white-in-black, forming a unity.



Figure 12.1. *Yin: (eg, dark, moist, feminine) and Yang: (eg, bright, dry, masculine)*

Taoism is not a religion. Taoism is a philosophy, a way of looking at life and a way of thinking about things. Taoists believe that if you look at life and think about things in the right way, then you will be much happier.

12.3.3. *Buddhism*

Buddhism was introduced to China from India between 58 and 76 AD, but only began to flourish in the 3rd century. It was founded by Siddharta Gautama, or Buddha, a contemporary of Confucius. Buddhism believes that desire is the source of all pain and that pain can be overcome by suppressing desire through meditation.

The major Buddhist values are: love, wisdom, goodness, calmness and self-control. Buddhists believe that people should try to end suffering; all things should be seen as having no self or essential nature. Put somewhat differently, nothing should be seen as literally existing or “standing apart” from all other things in self-sustained independence. On the contrary, all things should be seen as arising interdependently and as ultimately empty of any permanently abiding essence. In ancient China, people thought of Buddhism as a chart of behavior that they could follow to lead them to Nirvana.

Buddhism doctrine	Core beliefs
Three Trainings or Practices	Virtue, good conduct, morality. This is based on two fundamental principles: – the principle of equality – the principle of reciprocity: This is the “Golden Rule” in Christianity Concentration, meditation, mental development. Discernment, insight, wisdom, enlightenment. This is the real heart of Buddhism.
Four Noble Truths	Suffering exists: loss, sickness, pain, failure, the impermanence of pleasure. There is a cause for suffering: it is the desire to have and control things. It can take many forms: craving of sensual pleasures; the desire for fame; the desire to avoid unpleasant sensations, such as fear, anger or jealousy. There is an end to suffering: suffering ceases with the final liberation of Nirvana. The mind experiences complete freedom, liberation and non-attachment. It lets go of any desire or craving. In order to end suffering, you must follow the Eightfold Path.
Five Precepts	Do not kill: “not harming” or an absence of violence. Do not steal: the avoidance of fraud and economic exploitation. Do not lie: this is sometimes interpreted as including name-calling, gossip, etc. Do not misuse sex: for the laity, adultery is forbidden, along with any sexual harassment or exploitation, including that within marriage. Do not consume alcohol or other drugs: the main concern here is that intoxicants cloud the mind, as do such things as movies, television, etc.
Eightfold Path	Right understanding, right thinking, right speech, right conduct, right livelihood, right effort, right mindfulness and right concentration.

Table 12.5. *Buddhism and core beliefs*

To conclude these three doctrines of Chinese culture: Confucianism is concerned with human society and the social responsibilities; Taoism emphasizes nature and what is natural and spontaneous in man; and the contribution of Buddhism is particularly noticeable in developing conceptions of the afterlife.

12.4. Some essential aspects of Chinese culture

12.4.1. *Group orientation*

Chinese culture “regards people as members of colonies, not as individuals”. This concept is reinforced by Confucian doctrines that emphasize ties of kinship and close personal relationships [XIN 95]. The need to exist in groups is emphasized; the relationships among group members and correspondingly some ethical and moral standards to regulate their interactions are thereby defined. One important rule is that group members “should adopt group goals and opinions in exchange for reciprocal care and protection” [XIN 95].

Respect your family's elders

Within the family, the rule was “filial piety”, which is the household equivalent of having to respect those who are superior in society. The widespread Chinese respect for age and seniority comes from Confucian values: an older person is often seen as more experienced, wiser and, in some not clearly-defined way, superior to those younger.

The family comes first, but the group matters

It often helps if you consider a Chinese person as being part of his or her family and group, rather than as a single individual. Major personal decisions, such as a suitable career that in the West would be made by the individual, are often made on a family basis. The group is seen as a source of strength and comfort and business decisions are generally made on a consensus basis, within the framework dictated by the top person, whether the owner of the firm or the entrepreneur.

Respect authorities

The importance of belonging to and identifying with a group has a strong impact on the tolerance of humor and criticism. The Chinese do not find jokes about their country's political leaders or policy funny; indeed such irreverence shocks them. The visitor should make a point of not making jokes about these things, or even

about their own government or its policies, which in Chinese eyes would demean both the visitor and their family/group.

In Confucian China, people were educated and trained to know their place and to be content with it; deviations, criticism and rebellious behavior were not to be tolerated.

12.4.2. *Guanxi is one of the secrets to success in China*

Guanxi, based on personal connections, is an important factor in Chinese culture; it is an implication of the above-mentioned collectivism.

Good *Guanxi* can affect other situations, such as business connections. “Good exchange within a *Guanxi* network can be anything as long as it is of value to parties concerned, be it legal or illegal, corruptive or non-corruptive” [WU 94]. Hence, *Guanxi* cannot be limited only to some aspects of a relationship, but instead in any situation can affect all other situations.

Guanxi involves reciprocal obligation [LEU 93]. If a person has received a favor, she or he is obliged to return the favor when requested. With favors you can also strengthen your *Guanxi*. When giving favors, one should consider the cost of the favor, the effective component, the probability of reciprocation of the favor from the receiver and reaction from the social network of persons involved [BON 87].

Guanxi not only involves favors between two persons, but also extends obligations to entire *Guanxi* networks [LEU 93]. Building up *Guanxi* includes building immediate trust through common connections (ie, friends, relatives, classmates). Thus, mutual trust in a *Guanxi* relationship can be established immediately through common connections without any exchanges between the actors and the exchanges do not have to be institutionalized in order to gain trust in a relationship. This differs from a normal relationship because it exists between two parties without any previous direction connections between these parties.

Hence, *Guanxi* is a social resource, which exists at the varying levels of sentimental depth. Emotionally, the deepest relations occur in primary groups, such as family; in the other extreme situation, they occur in relationships with relatives, neighbors, classmates, colleagues and people from the same region and so on. These relationships may be intimate between close or first-tier friends, or *Renqing* relationships tied with an emotional bond between good or second-tier friends [JOY

01]. *Renqing* translates into English as human sentiment or human emotion (*ren* refers to human being, *qing* refers to sentiment, emotion, favor, kindness, relationship). In Chinese philosophy, *renqing* denotes a human being's common emotional response, although it implies an obligatory affective component which serves to define the responsibility one has towards the other [CHA 91].

Face-work

A way of strengthening *Guanxi* is through what is known as “face-work”. The Chinese language and culture distinguish two kinds of face: *lian* and *mianzi*. Building up *Guanxi* at any level of human behavior involves both *lian* and *mianzi*. Face-work is an important way of asking for and giving favors. Favors must be requested and rejected in a way that saves face for both partners [BON 87]. For this reason a negative answer from a person in a Chinese culture is less direct than a negative answer in a Western context.

The habit of giving gifts is connected to favors and has its roots in the history of tributes to the imperial court. A weaker member, for example, with a lower hierarchical status in Cardinal Relations in the *Guanxi* network can pull *Guanxi* by, for instance, giving gifts to the stronger member. The stronger member is obliged to do the requested favor if they have accepted the gift. Both parties have gained benefits: the weaker the desired favor and the stronger *mianzi* face through the achieved reputation in the *Guanxi* network [HAR 94]. By receiving a gift, one becomes indebted to the donor of the gift and similarly one can give a gift, so placing the receiver in debt. Face-work through giving and receiving favors in a *Guanxi* relationship does not need immediate “equal reciprocation” from the partners involved. Years may pass before the gift giver requests a favor from the gift receiver. The importance of reciprocity depends also on the depth or type of a relationship [JOY 01]. Hence, classy, expensive and prestigious gifts are exchanged by the Chinese. Furthermore, luxury clothing and choice of restaurant are considered to enhance one's status. Conspicuous consumption is a way to show off one's position in the network of one's social circle [SCH 95].

Behavior in Chinese society is based on the individual's tendency to act according to external expectations or social norms. The objective is to maintain harmony in a group and maintain face. However, it should be noted that collectivism does not mean a homogenous society. Collectivism works within small social contexts like family and clan and the nation is constituted from these smaller units.

As for this behavior, frequent contact with group members and reliance on informal channels as well as the speed-of-message transference points to the significance of word-of-mouth communication in China [YAU 88].

12.4.3. *The Chinese are superstitious*

Most Chinese are superstitious and even well-educated, apparently totally Westernized people may cling to traditional beliefs. Many superstitions exist and they vary in different parts of China so that it is not easy to know what a particular person will believe in. Numbers have a special significance to Chinese people. Most Cantonese believe that numbers 4, 44, 444 and so on are very bad luck, as they are a homonym for death in Chinese language; they would not buy a motor car with such a license plate or stay in a hotel room with such a number. Eight is however seen as good luck and the more eights the better. Nine is an extremely lucky number.

Colors play an important part in superstition too with different meanings in different circumstances.

Other factors relating to cultural values, which may have an impact on Chinese consumer behavior, are the Chinese beliefs in modesty and self-effacement as well as their situational orientation and pragmatism [YAU 88], which will affect their purchasing attitudes.

12.5. Who are the major customers in China?

China is not yet a single market. Together with differences in revenue, consumption, power, education, personal habits and tastes, these disparities characterize China as one nation, but certainly not one national market. Where is the challenge?

In mainland China, a rough segmentation can be made of rural and urban populations. The rural and urban populations differ in their purchasing power and consumption habits; for instance, rural consumers buy more domestic products and have less trust in advertising than their urban counterparts [LI 95].

Schütte and Ciarlante [SCH 98] have suggested that Chinese consumers could be divided into different consumption generations according to their historical, political and economic experience. Those born before 1945 have seen China's transformation

to a socialist society and have been called “a socialist generation”. This group is austere in its consumption and has a negative attitude towards consumer society. The following generation (born in 1945–60) is called “the lost generation” since they experienced the Great Cultural Revolution. Many of them lack education and have struggled to meet the requirements of China after Deng Xiaoping’s reforms. The last generation born after the 1960s, “the lifestyle generation”, is the first group that has had a true chance to adopt the values of a consumer society. Their consumption is modern and differentiated [SCH 98].

The most affluent population lives in eastern areas of the country and the poorest in the west. [CUI 00] have divided urban China into “growth markets” in the south, “emerging markets” in the center and “untapped markets” in the north.

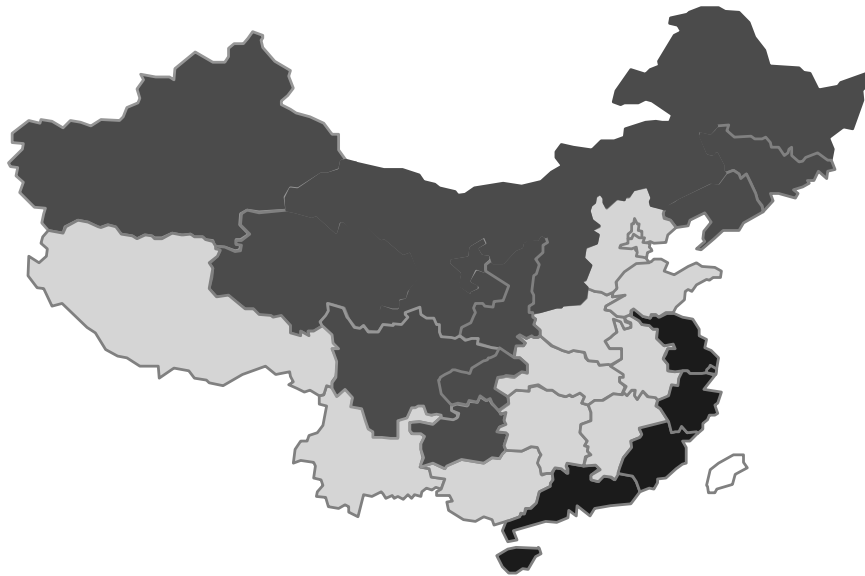


Figure 12.2. *Chinese consumer market [CUI 00]*

Generation X and Y

Generation X – people currently in their late 20s and 30s – and Generation Y – people in their late teens and early 20s – are very different to Generations X and Y in Europe, the US, or in Latin American, where this age group is often viewed as a generation of slackers. Chinese Generations X and Y have increasing drive, aspirations and demands; it is a highly literate and information-savvy group that

refuses to be taken for granted. These young adults, who are generally the first generations of the one-child policy, are open to Western ideas and products, yet still proudly supportive of their own culture and they are looking for more ways to express their individualism through fashion, the media, technology and art.

Chinese women hold up half of the sky

As Chinese women's education and their participation in the workforce grow, their status improves. They are becoming increasingly sophisticated and demand higher-quality products with diversified designs. Younger women, in particular, are very fashion-conscious and are able to indulge in costly foreign brands.

The female consumers in Hong Kong can be grouped into traditionalist, individualist and pro-societalists [SIN 01]. Traditionalists in Hong Kong preserve the traditional Chinese family values of family and obedience to father, husband and son. Individualists are socio-economically independent and less concerned with social issues. On the mainland, traditionally modern females are a combination of Hong Kong traditionalists and individualists. The last group, pro-societalists, is economically independent, different from the traditional Chinese role of women, but is active in societal issues. The mainland segment of educated/working females is analogous to pro-societalists in Hong Kong.

Single-child market

The one-child policy has many implications for consumer habits in mainland China. The possibility of having only one child makes that child a very special treasure for the family. He or she becomes the "Little Emperor" or "Little Empress". Parents are willing and able to spend a great portion of their income on the child's material welfare and academic success. The investment is put on the child's nutrition, health, education and leisure activities [DAV 00]; when purchasing for children, parents often prefer products for educational purposes and buy toys as a reward for good grades or as a prize [DAV 00; MCN 99]. Children do get "gifts" from their parents, grandparents, uncles and aunts during the Spring Festival, but these "gifts" are usually *hong bao*, ie, small, red envelopes filled with money [MCN 99].

For children, the most important source of information about new products is television, followed by their parents and store visits [MCN 99]. Store visits seem to be an even more important information source where small purchases, such as snacks, are concerned.

Chinese ethnic minorities

From the hinterlands of the north to the lush jungles in the south, from the mountains of Taiwan in the east to the top of the world in the west, China serves as home to 56 official ethnic groups. The largest group, the Han, make up over 92% of China's vast population and it is the element of Han civilization that the world considers "Chinese culture". Yet, the 55 ethnic minorities, nestled away on China's vast frontiers, maintain their own rich traditions and customs and all are part of Chinese culture.

12.6. Brand effect on Chinese consumer behavior

Studies show that Chinese consumption is unique in some dimensions. The social dimension in consumption is important [SCH 98]. Brands are used to distinguish oneself from the social group one does not belong to and brands communicate the membership of one's own group [TSE 96].

Today, Chinese consumers are looking for esthetic and social value instead of just focusing on the basic needs of warmth and the protective function of products. Chinese consumers' willingness to purchase is highly brand-conscious. The reputation and track records of the brand will usually act as the criterion by which the quality of the product will be judged.

Chinese consumers rely on price as a mark of quality and brands accounted for one-third to one-half of all consumers' expressions of intent to purchase, because a successful brand is thought to be the indicator of a popular product with good style, high quality and so on; thus, the status of the brand is crucial.

Chinese consumers need more product information, rather than elaborate product presentation in stores. Strong brand information makes the stores effective channels in attracting early adopters and the Chinese consumer will look for the product if they have heard about it. As they want to see complete information and even specification details, they read product information carefully to improve their understanding and to gain a feeling of security about the product. Therefore, a brand can only attract consumers to buy it if it can really provide enough information to influence their decision making.

12.7. Managerial implications and suggestions

The three doctrines of traditional Chinese culture define the three types of seeking consumer.

Based on Confucian dynamism, the consumption-oriented are *Prestige Seeking Consumers*. Face-work, showing their social status with luxury products, has an impact on Confucian consumers.

The collective nature of the society also affects the degree of involvement in purchasing situations, particularly through giving and receiving favors, which like gifts, are for social purposes but for which the degree of involvement is much higher. [SCH 98]. A product bought for social purposes is important because it signals the factors that give face for both receiver and giver. Such factors are price, brand name, prestige and packaging [SCH 95].

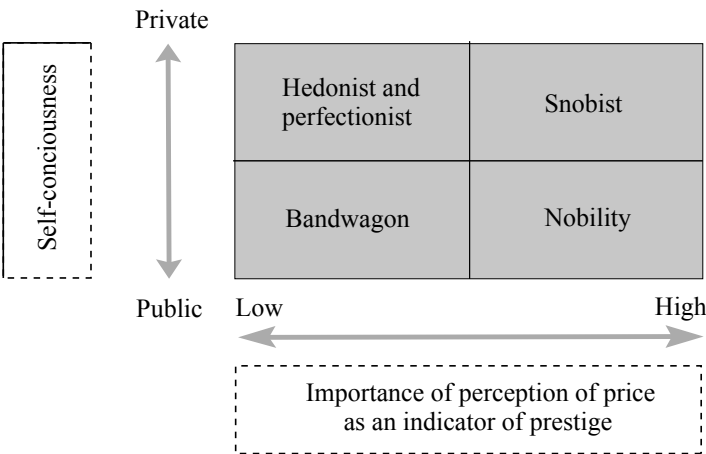


Table 12.6. Interpersonal effects of *Prestige Seeking Consumer* behavior (created by Lei TANG based on [VIG 99])

Taoism defines the consumption-oriented *Health Seeking Consumer*, which balances between the Yin and Yang forces of the universe. The traditional formulation of this group is based on naturalistic and rationalistic principles. So, due to their perception of the emergence of nature, health products will be considered. Images of natural forms are highly attractive to the Chinese consumer as a brand; peaceful images such as lakes, mountains and forests are therefore popular in

advertisements as they are all considered to be tranquil and calm. They can also be found in brand names and trade marks.

Buddhism influences, the *Utility Seeking Consumer*. Buddhist values provide “Buddhist economics”: real happiness does not come from acquiring or consuming material things. Happiness is essentially a state of mind and mind is distinct from matter. Thus, Buddhism considers the path of mental or spiritual development superior to that of material development. What really matters is to psychologically detach oneself from matter and strive for liberation and enlightenment, which is considered the ultimate state of happiness and fulfillment. This is achieved by the cultivation of values within one’s mind, such as insight, compassion, tolerance and detachment. Only this will bring true happiness, both for the individual and society. Hence, simple, low-quality, inexpensive products will appeal to this target group:

- Among modern Chinese women, both the traditionalist and the independent professional, the demand for high-quality – luxury – clothing and cosmetics is increasing. Similarly, convenient home-commodities such as fast food, kitchen appliances and luxury cell phones are in demand.

- As the cost of education and health care increases, the larger portion of household income will go to these expenses, at the same time creating a market for education and health services.

- Chinese consumers like to shop in a free environment without interference. If a sales assistant in a retail store is too eager to help and approaches a consumer who has not decided what to buy, the consumer will feel uneasy and go away. The proper way is to keep a certain distance from the consumer, but at the same time let the consumer know that the sales assistant is always ready to help.

- There is evidence that people do not express their dissatisfaction as directly as those accustomed to Western cultures. However, this does not mean that Chinese consumers do not complain at all; they may just not complain directly at the point of sale. This can be disastrous if consumers are not satisfied with what they have bought.

The nature of segmentation

For a marketer of branded and foreign products, the most lucrative segments are “yuppies”, entrepreneurs, “little rich”, even “salaried class” and the “lifestyle generation”. Many of them live in eastern and southern China. Competition for these consumers is already tough and the competitive advantage of a marketer should reach beyond quality products and price. Half of China’s population is aged between

15 and 39 years and the top pastime activity for them is window-shopping [TAM 97]. Although they may not be immediate buyers, it is likely they are seeking market information about products to help them to make purchasing decisions later.

– Initiate a brand-building process to enable marketers to systematically identify and align their core brand values to manage the performance of their brands.

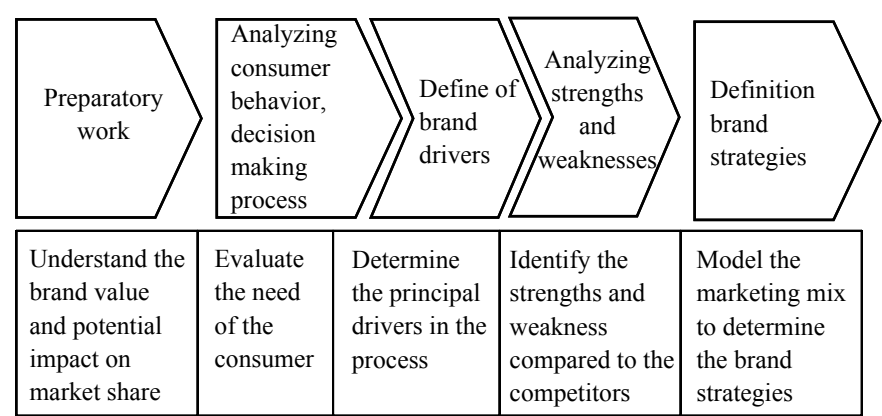


Table 12.7. Brand-building process created by Lei Tang

This brand building process may help companies to improve their branding strategy in China.

12.8. Discussion and limitations

The increasing trend towards globalization of business activities provides a strong reason for understanding the cultural context of consumer behavior [MAH 00]. The marketing strategies in international ventures need to be particularly sensitive to the cultural diversity of their customer base.

Chinese consumers are becoming more and more sophisticated, mainly due to advances in technology and education throughout the country. New technology, such as computers, satellite television and the Internet, provides consumers with information that they could not access in the past. The new technologies also help consumers to exchange ideas and experiences with others in different markets.

Future studies on Chinese consumer behavior should provide qualitative research and quantitative research, taking into account market structure and cultural differences. Regional differences within the market are quite common in China and the applicability of the results to the different cities is needed.

The use of a quasi-experimental design will help to isolate and control for the impact of other variables such as the micro or macro-cultural context, which might confound findings. The research design of a longitudinal study is likely to be desirable.

12.9. Conclusion

Despite the current market, there is still great potential for growth. Consumption levels are still low and are likely to rise in the future. A company can only be successful by gaining an in-depth understanding of the local culture and consumers' attitudes and being prepared to cope with unexpected changes in the marketplace.

The Chinese market is changing all the time and firms need to understand the market and serve the consumer better than their competitors. Putting marketing efforts into a complex cultural context is the key to future success in the Chinese market.

In China, the consumer's expectations of product quality in general have been steadily rising, owing to the increase in income and sociological forces which have prompted high expectations of a better lifestyle. The challenge will be to navigate the risks and obstacles of operating in the Chinese market while taking full advantage of the opportunity that rapid growth is creating. This will entail exploiting a company's best features while adapting to Chinese culture and Chinese consumers and it will extend a company's culture to a new environment by integrating local culture.

12.10. References

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